

PLANNING FOR GOALS

We will now focus on systematically planning to meet our individual goals. We will emphasize where and how much should be invested for each financial goal. We already have a broad understanding of how we begin with the most important goals and then how we move to other goals after taking care of more important ones.

Here, we will start with the broad allocation of resources into different asset classes for each goal. Then we move forth with selecting the category within the selected asset class which best suits our risk-taking ability. We will create a base plan using debt and equity only i.e. different mutual funds. After that, we will replace some of it with other assets i.e. real estate, gold, direct equity etc. to better suit our willingness and comfort.

